

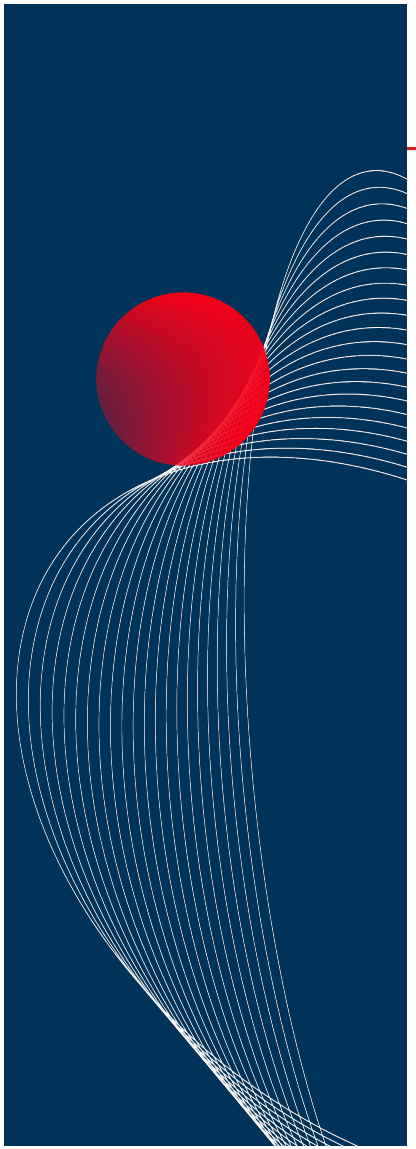
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CAIM

Quant workshop

October 2026

Global expertise, local focus.



The world has changed

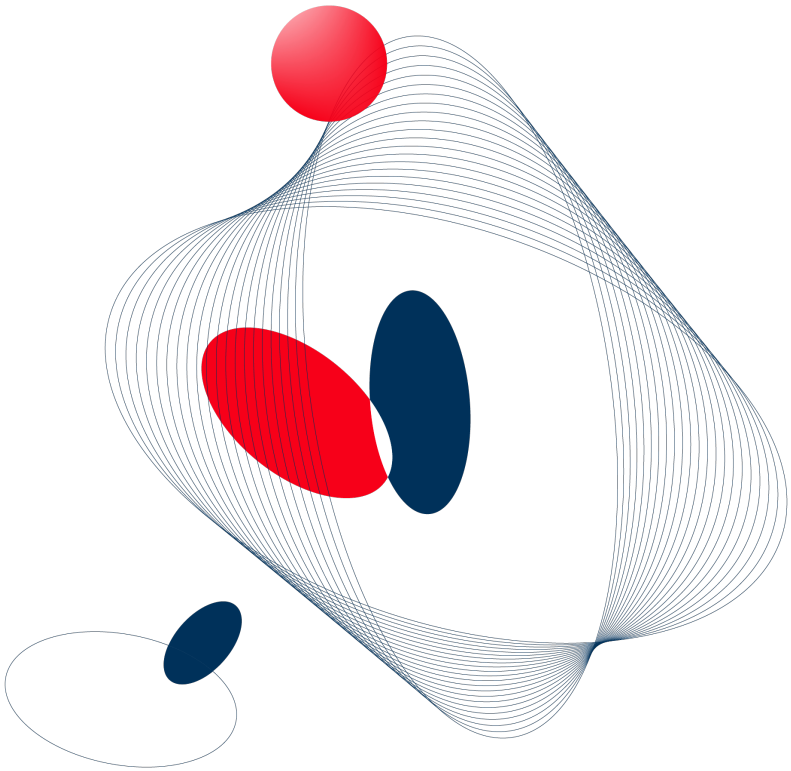
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We are not experiencing a normal cycle, we are experiencing a regime change

- End of ultra-low interest rates
- Return of geopolitics
- Rise of industrial policy
- Technology acceleration
- Increased uncertainty

From globalisation to fragmentation

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Efficiency is being replaced by resilience

- Supply chains moving closer to home
- Strategic industries prioritised
- Trade becoming political
- Friend-shoring and reshoring

Debt is the defining macro variable

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The world's largest economies are carrying unprecedented debt burdens

- Rising public debt levels
- Persistent fiscal deficits
- Growing refinancing requirements
- Pressure on bond markets

Inflation is not going to decline soon

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Future inflation is likely to be more volatile than the previous decade

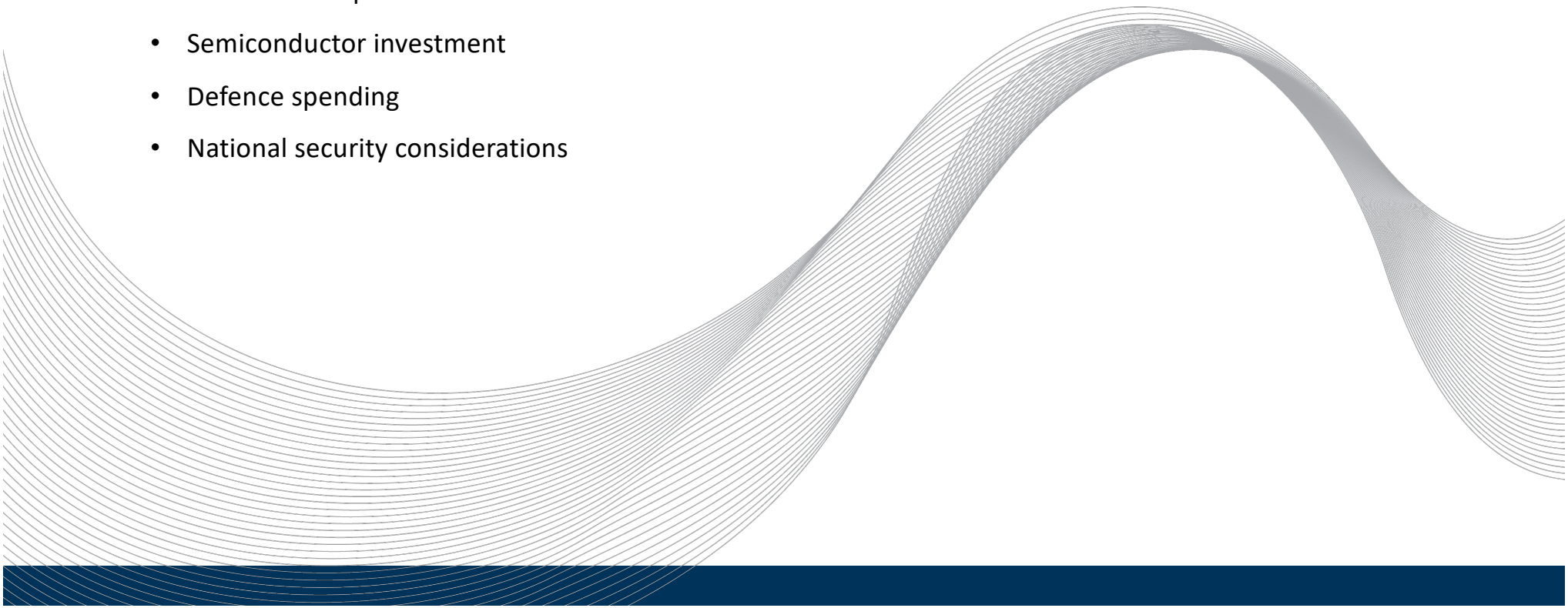
- Labour constraints
- Energy transition costs
- Geopolitical shocks
- Fiscal spending

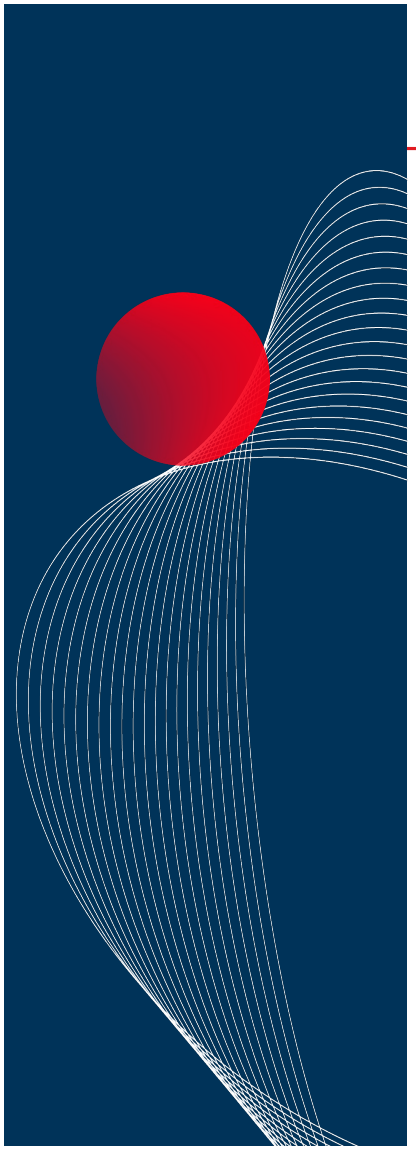
The new geopolitics of capital

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Capital is increasingly flowing according to strategic priorities

- US-China competition
- Semiconductor investment
- Defence spending
- National security considerations





AI changes the productivity equation

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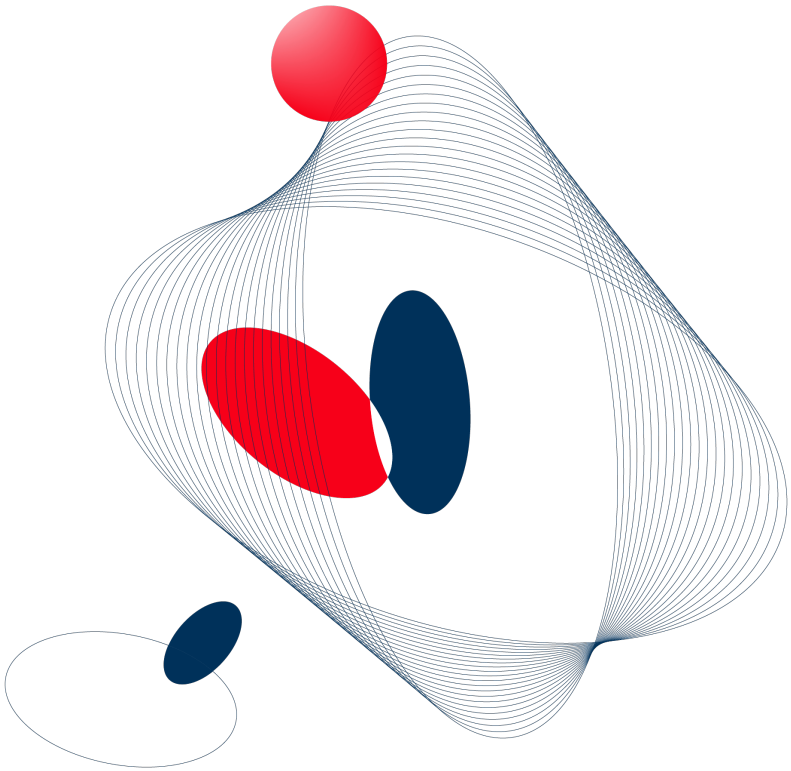
AI represents a potentially transformational investment theme

- Productivity enhancement
- Revenue opportunities
- Business model disruption
- Earnings dispersion

The energy transition is an investment theme

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The energy transition will drive capital expenditure for decades



- Electricity infrastructure
- Renewables
- Grid modernisation
- Critical minerals

What does this mean for expected returns?

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Future returns may look different from the past decade

- Higher cash yields
- Higher bond uncertainty
- Greater equity dispersion
- More opportunities

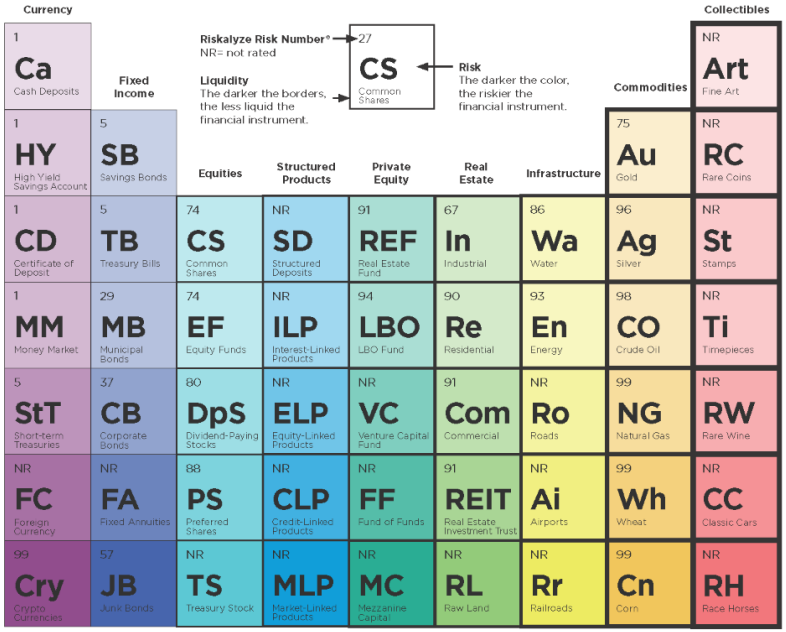
Diversification needs to evolve

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Traditional diversification assumptions are under pressure

- Equity-bond correlations changing
- Multiple sources of return needed
- Greater scenario uncertainty
- Broader toolkit required

Periodic Table of Asset Classes

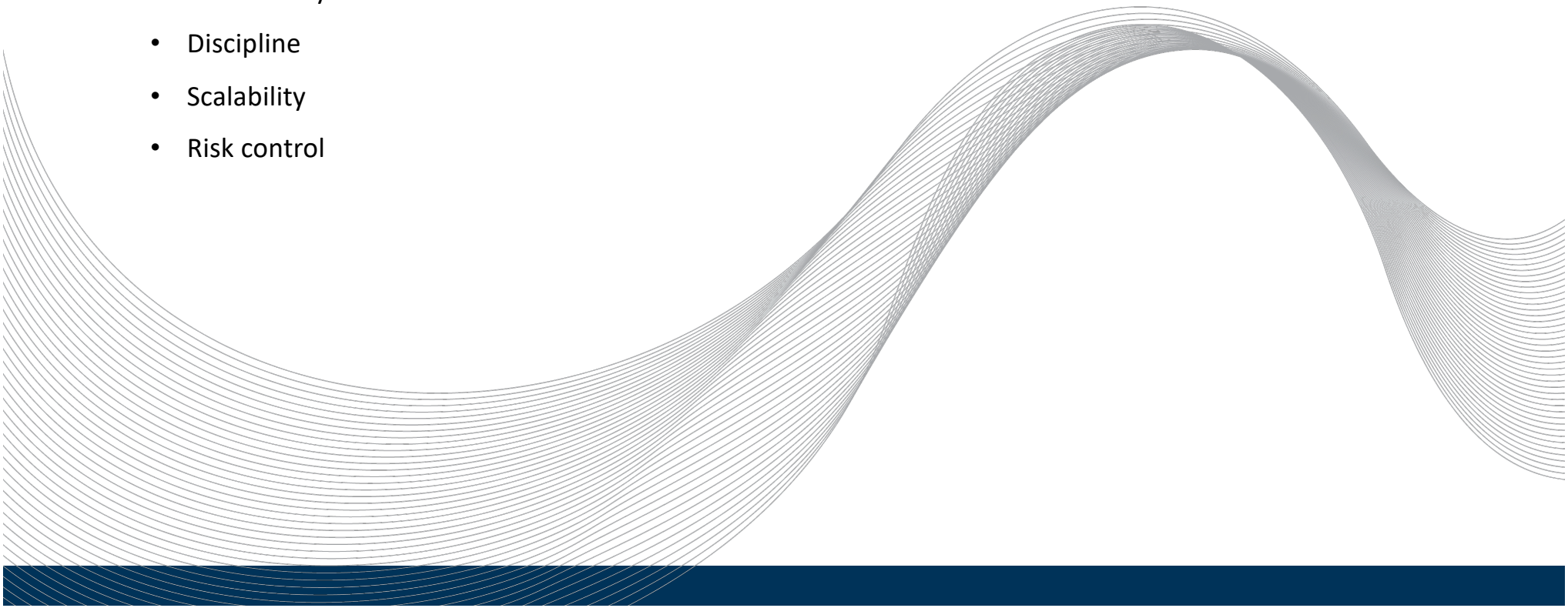


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Complexity favours process-driven decision making

- Consistency
- Discipline
- Scalability
- Risk control

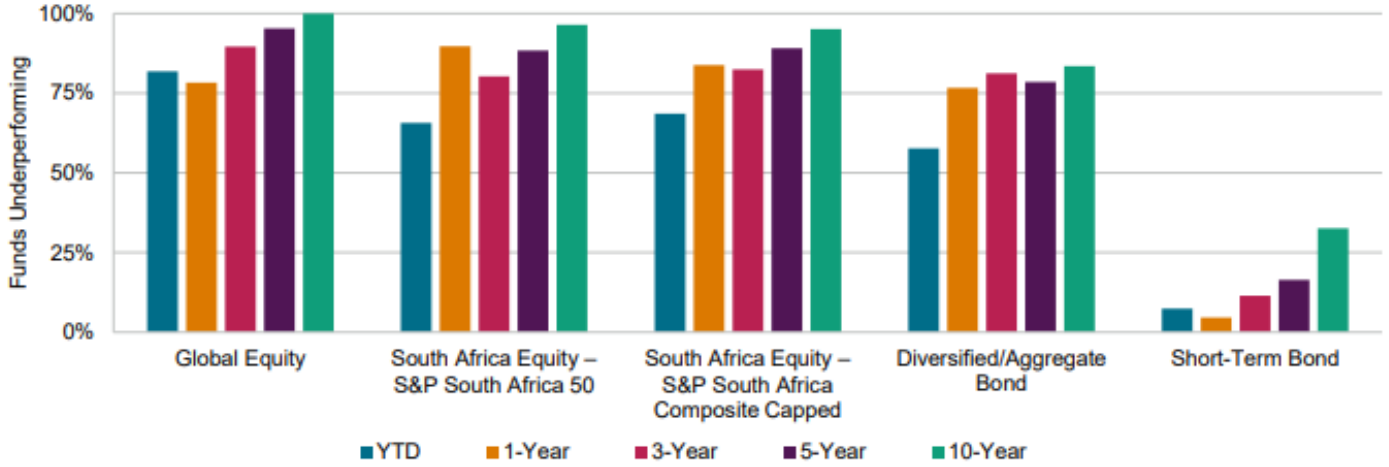


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S&P SPIVA South Africa

Exhibit 1: Percentage of Underperforming Active South African Funds



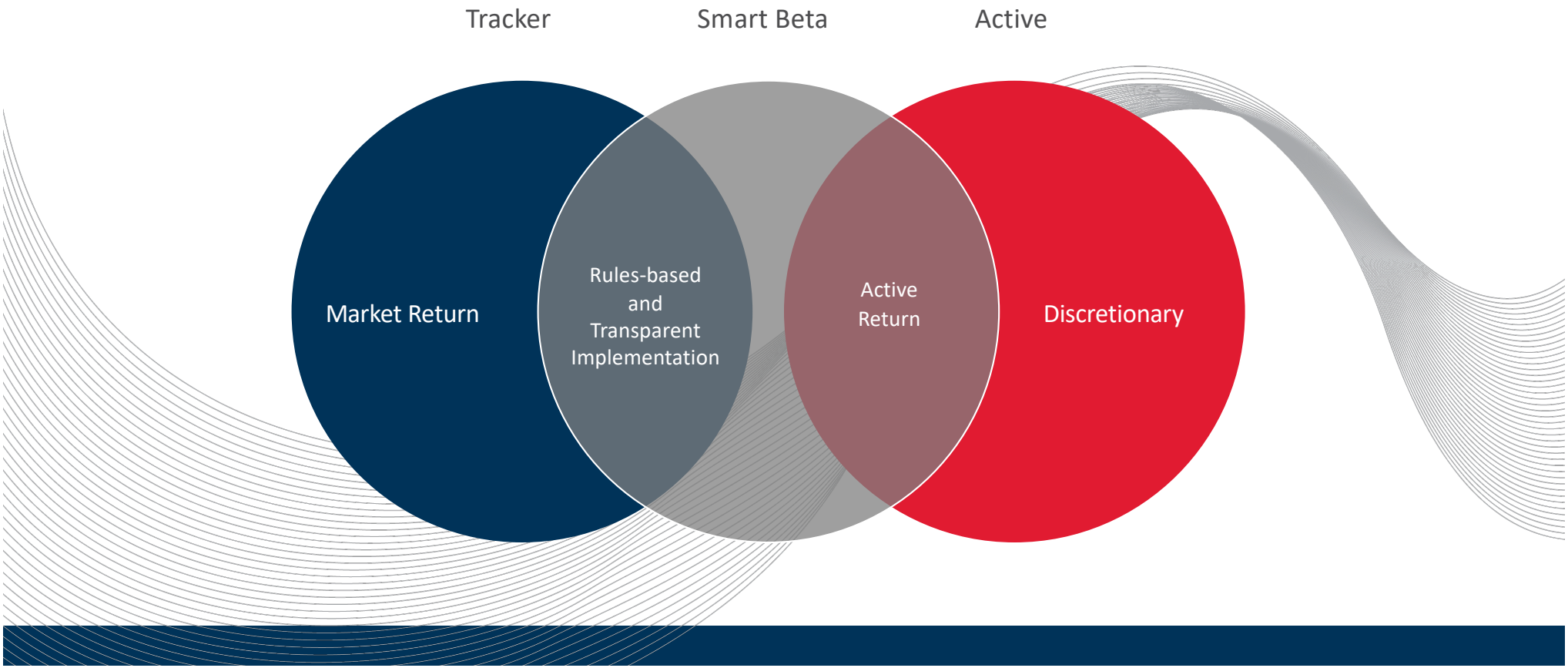
Source: S&P Dow Jones Indices LLC, Morningstar. Data as of June 30, 2026. Index performance based on total return in ZAR. The S&P World Index (ZAR) was launched on Sept. 30, 2025. The S&P South Africa Sovereign Bond 1+ Year Index was launched on Aug. 8, 2017. All data prior to such date is back-tested hypothetical data. Past performance is no guarantee of future results. Chart is provided for illustrative purposes and reflects hypothetical historical performance. Please see the Performance Disclosure at the end of this document for more information regarding the inherent limitations associated with back-tested performance.

Source: S&P Global (https://www.spglobal.com/spdji/en/spiva/article/spiva-south-africa)

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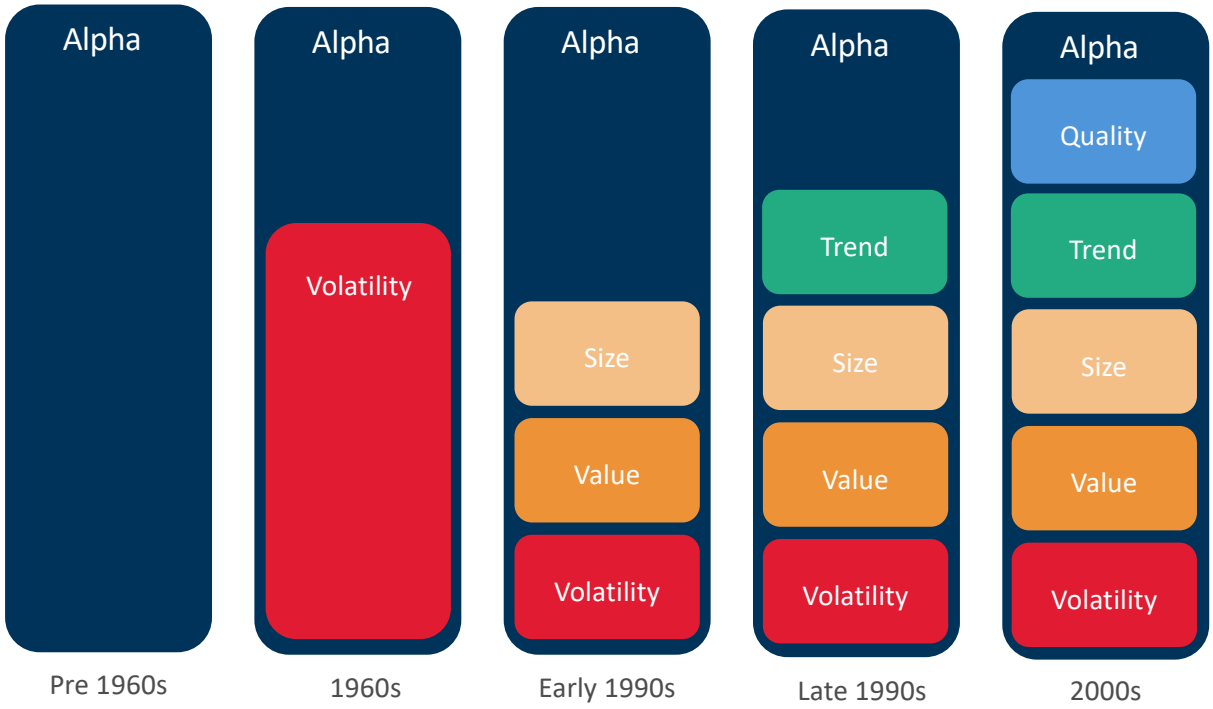
Philosophy



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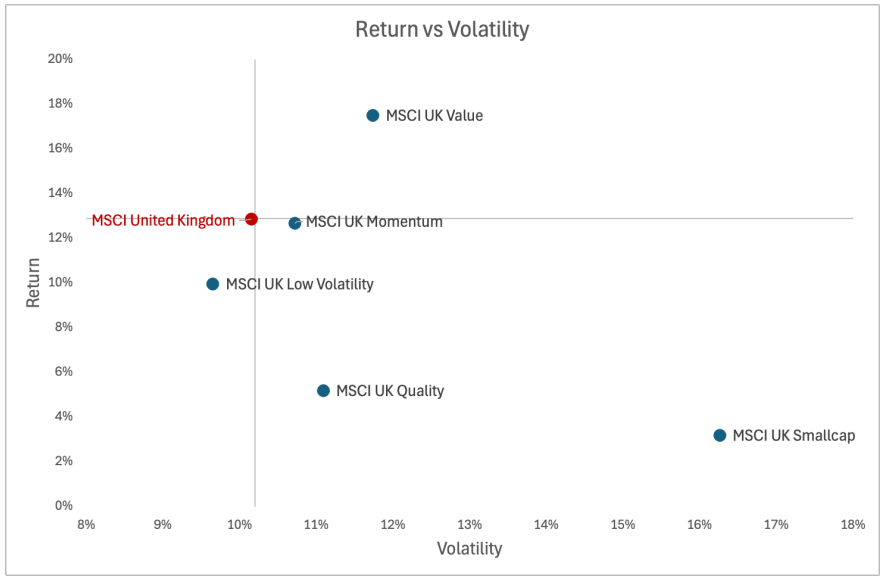
Philosophy

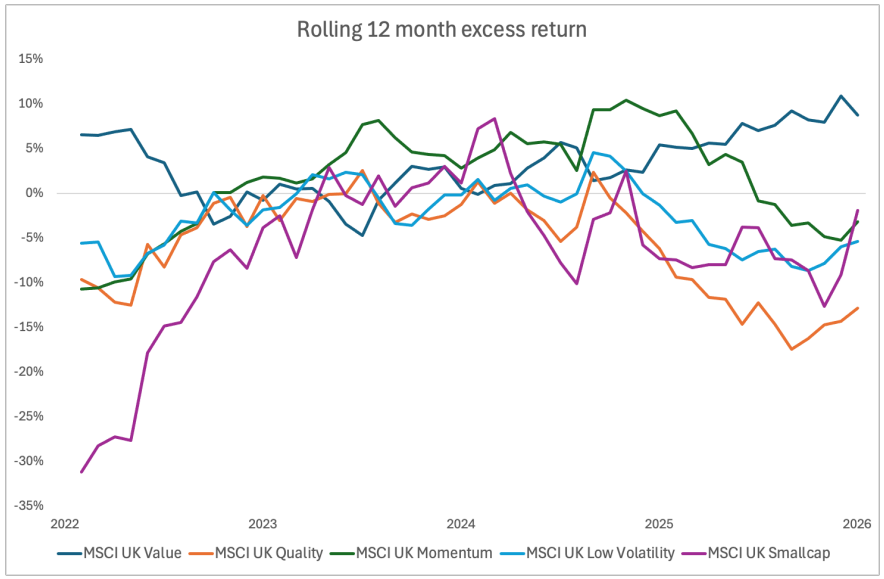


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Factor investing

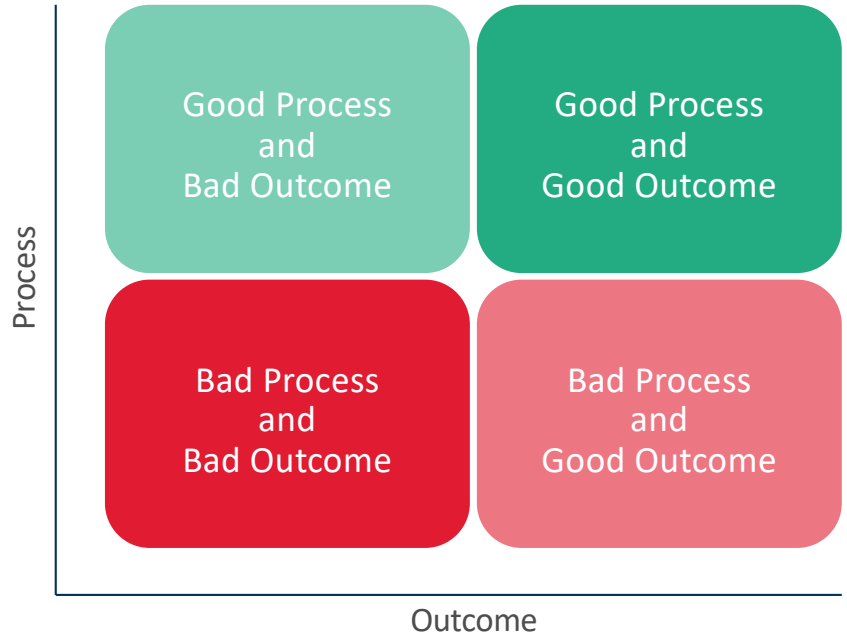




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Process



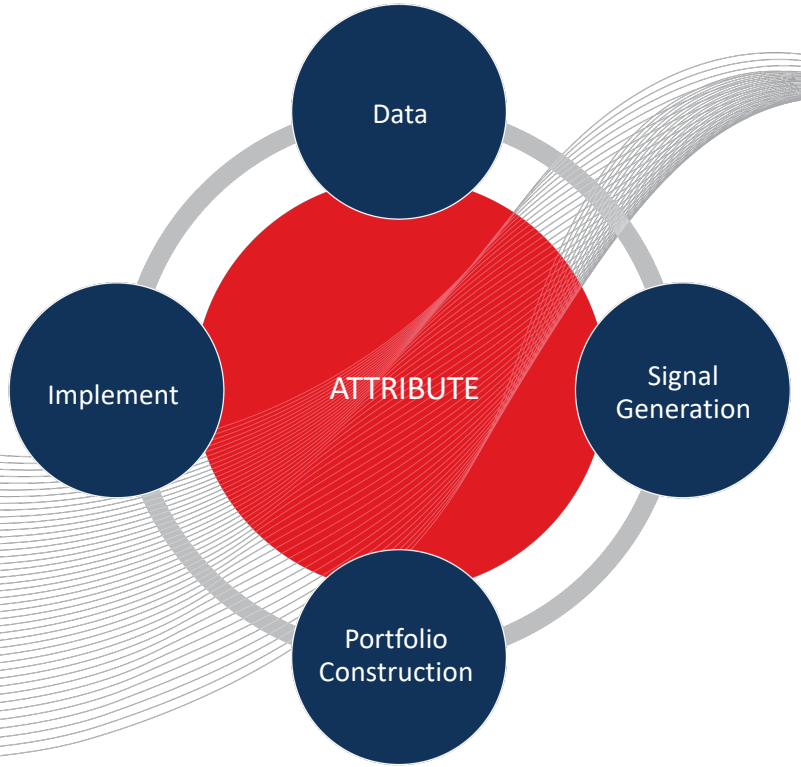
Benefits

- Repeatable
- Explainable
- Objective
- Evidence-based

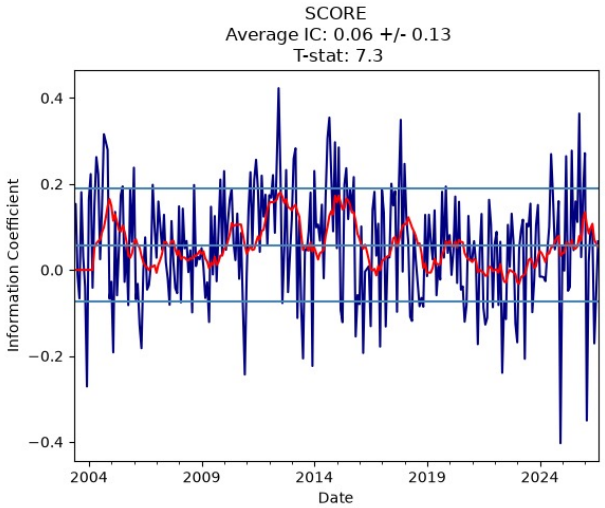
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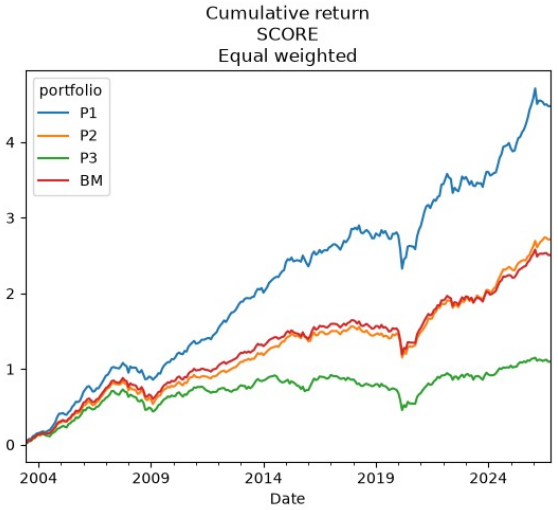
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Investment process



Signal generation



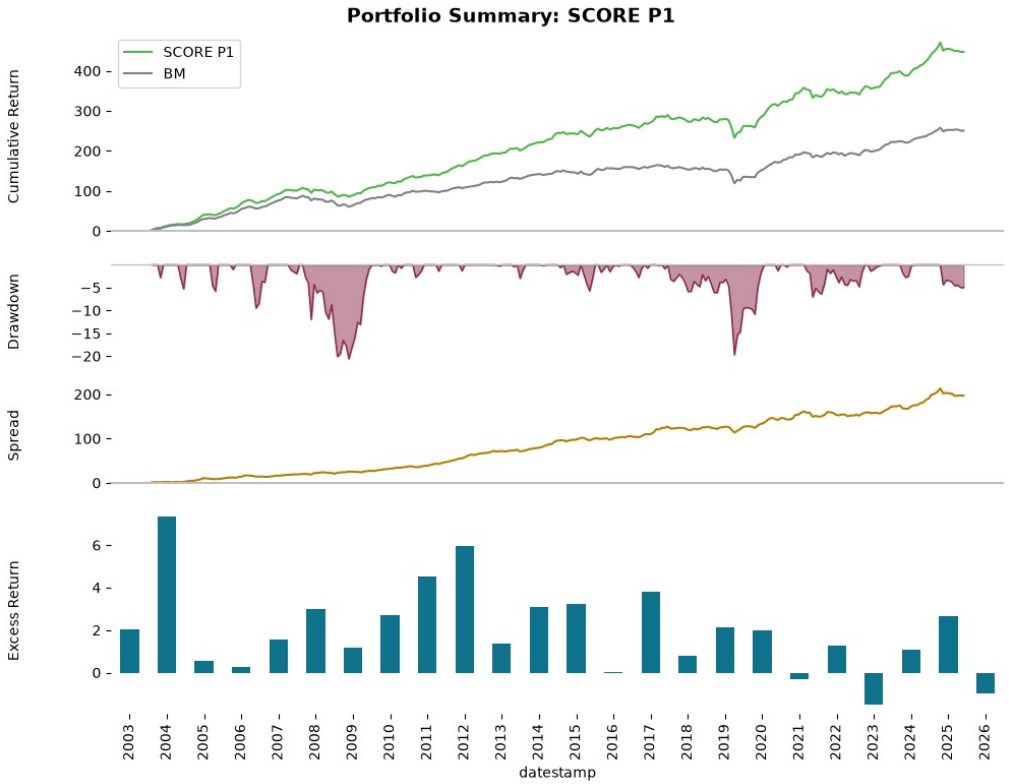


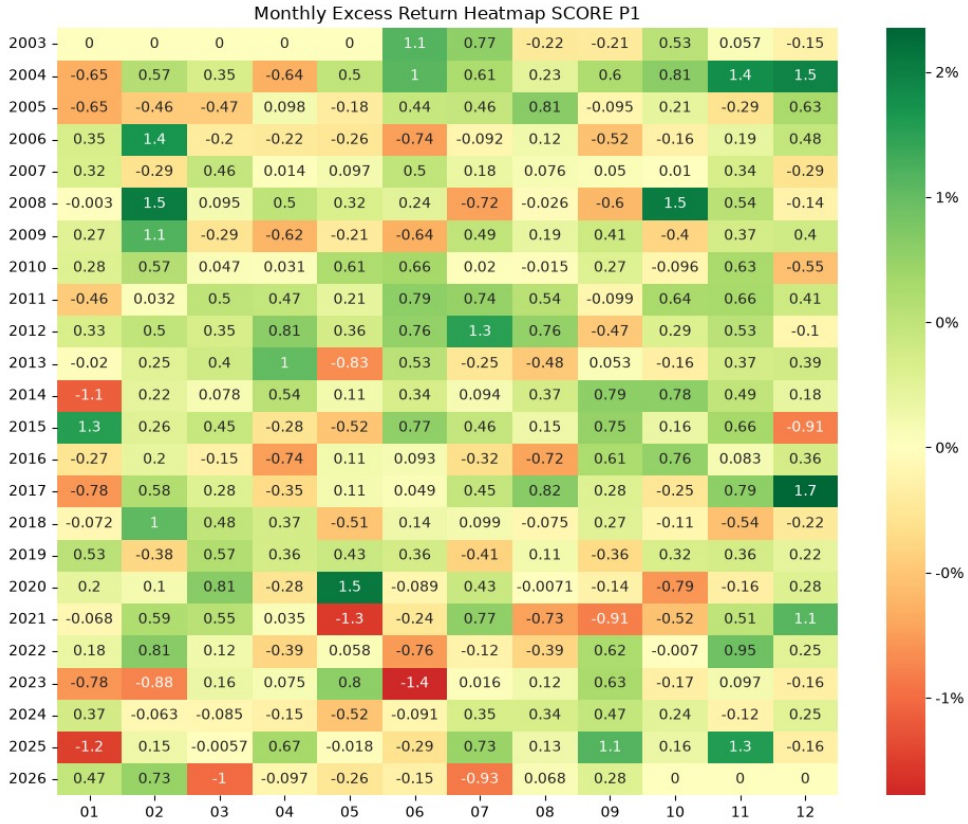
	P1	P2	P3	BM
Data Points	281	281	281	281
Annualised Return	7.7	5.9	3.4	5.6
Annualised Volatility	5.4	5.1	5.7	5.1
Sharpe Ratio	1.4	1.2	0.6	1.1
Sortino Ratio	2.7	2.0	1.0	1.9
Max Drawdown	-14.7	-16.7	-24.3	-17.2
Hit Rate	65.8	64.4	56.9	62.6
Excess Return	2.0	0.3	-2.3	
Tracking Error	1.8	1.5	2.0	
Information Ratio	1.1	0.2	-1.1	

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Signal generation





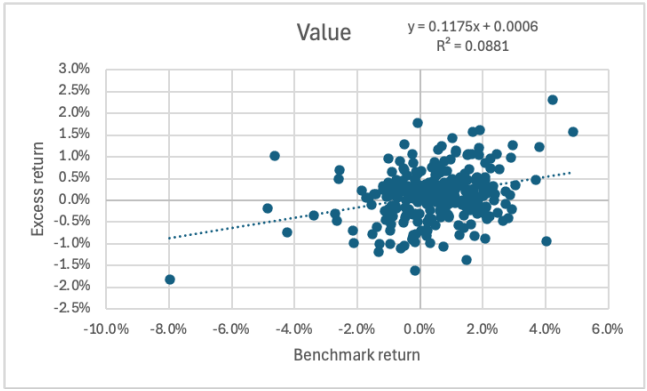
	01	02	03	04	05	06	07	08	09	10	11	12
2003	0	0	0	0	0	1.1	0.77	-0.22	-0.21	0.53	0.057	-0.15
2004	-0.65	0.57	0.35	-0.64	0.5	1	0.61	0.23	0.6	0.81	1.4	1.5
2005	-0.65	-0.46	-0.47	0.098	-0.18	0.44	0.46	0.81	-0.095	0.21	-0.29	0.63
2006	0.35	1.4	-0.2	-0.22	-0.26	-0.74	-0.092	0.12	-0.52	-0.16	0.19	0.48
2007	0.32	-0.29	0.46	0.014	0.097	0.5	0.18	0.076	0.05	0.01	0.34	-0.29
2008	-0.003	1.5	0.095	0.5	0.32	0.24	-0.72	-0.026	-0.6	1.5	0.54	-0.14
2009	0.27	1.1	-0.29	-0.62	-0.21	-0.64	0.49	0.19	0.41	-0.4	0.37	0.4
2010	0.28	0.57	0.047	0.031	0.61	0.66	0.02	-0.015	0.27	-0.096	0.63	-0.55
2011	-0.46	0.032	0.5	0.47	0.21	0.79	0.74	0.54	-0.099	0.64	0.66	0.41
2012	0.33	0.5	0.35	0.81	0.36	0.76	1.3	0.76	-0.47	0.29	0.53	-0.1
2013	-0.02	0.25	0.4	1	-0.83	0.53	-0.25	-0.48	0.053	-0.16	0.37	0.39
2014	-1.1	0.22	0.078	0.54	0.11	0.34	0.094	0.37	0.79	0.78	0.49	0.18
2015	1.3	0.26	0.45	-0.28	-0.52	0.77	0.46	0.15	0.75	0.16	0.66	-0.91
2016	-0.27	0.2	-0.15	-0.74	0.11	0.093	-0.32	-0.72	0.61	0.76	0.083	0.36
2017	-0.78	0.58	0.28	-0.35	0.11	0.049	0.45	0.82	0.28	-0.25	0.79	1.7
2018	-0.072	1	0.48	0.37	-0.51	0.14	0.099	-0.075	0.27	-0.11	-0.54	-0.22
2019	0.53	-0.38	0.57	0.36	0.43	0.36	-0.41	0.11	-0.36	0.32	0.36	0.22
2020	0.2	0.1	0.81	-0.28	1.5	-0.089	0.43	-0.0071	-0.14	-0.79	-0.16	0.28
2021	-0.068	0.59	0.55	0.035	-1.3	-0.24	0.77	-0.73	-0.91	-0.52	0.51	1.1
2022	0.18	0.81	0.12	-0.39	0.058	-0.76	-0.12	-0.39	0.62	-0.007	0.95	0.25
2023	-0.78	-0.88	0.16	0.075	0.8	-1.4	0.016	0.12	0.63	-0.17	0.097	-0.16
2024	0.37	-0.063	-0.085	-0.15	-0.52	-0.091	0.35	0.34	0.47	0.24	-0.12	0.25
2025	-1.2	0.15	-0.0057	0.67	-0.018	-0.29	0.73	0.13	1.1	0.16	1.3	-0.16
2026	0.47	0.73	-1	-0.097	-0.26	-0.15	-0.93	0.068	0.28	0	0	0

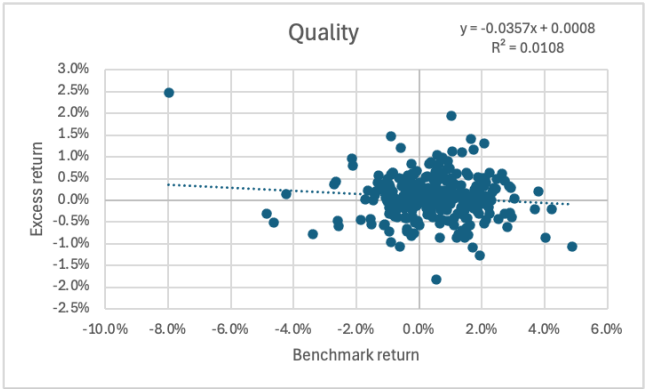
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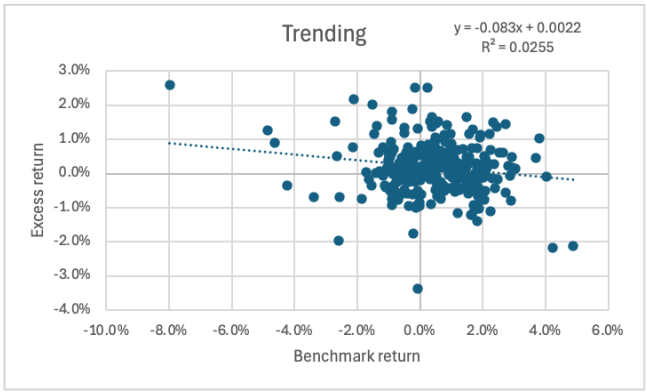
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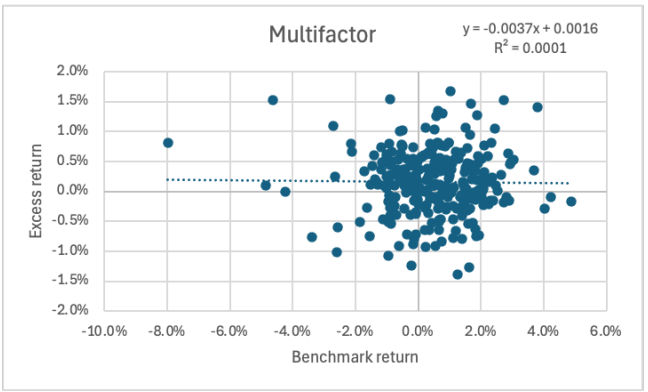
Signal generation

	VALUE	QUALITY	TRENDING
VALUE	1.00		
QUALITY	0.07	1.00	
TRENDING	-0.23	0.31	1.00





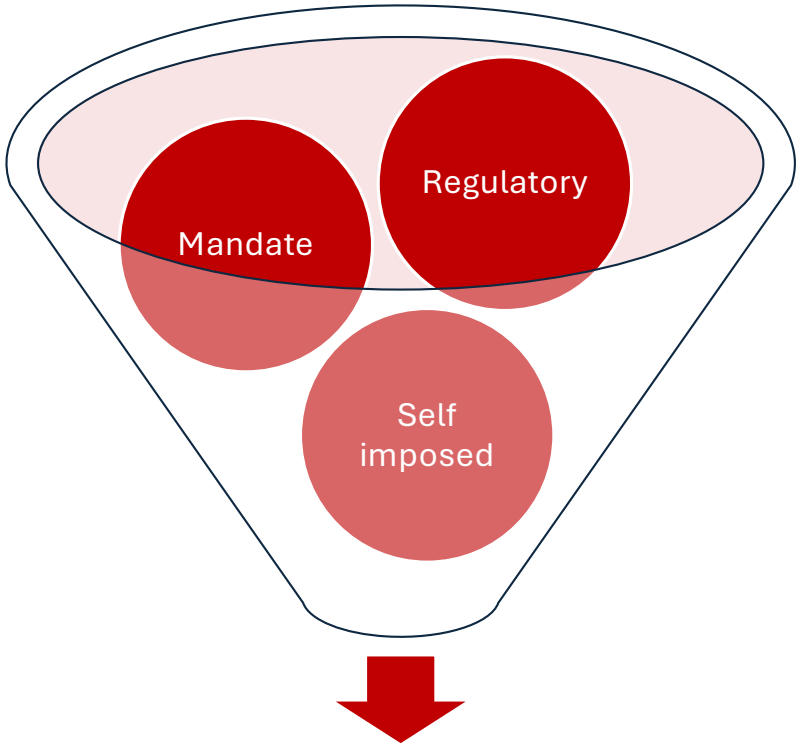




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Portfolio construction



Real world portfolio

Adapting to a changing world

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Cautionary tale





Final thought

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The most important investment decisions of the next decade is recognising that the world has changed.

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Thank you

Disclaimer

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